

Sustainable Equity Allocation Under Climate Transition Scenarios

An institutional framework for integrating climate transition pathways into long-horizon strategic asset allocation.

Executive Summary

This note outlines a framework for incorporating climate transition risk into strategic asset allocation decisions at the asset owner level. We examine three transition scenarios — orderly, disorderly, and delayed — and their implications for sector-level equity allocations, manager selection criteria, and fund-level climate targets over a 10-year investment horizon.

Key Findings

Scenario	Equity Tilt	Tracking Error	10Y Return Impact
Orderly Transition	+4.2% Low-Carbon	0.8%	+0.6% p.a.
Disorderly Transition	+7.1% Low-Carbon	1.4%	+1.1% p.a.
Delayed Transition	+2.0% Low-Carbon	0.5%	+0.2% p.a.

Methodology Note

Scenario allocations are derived from sector-level emissions trajectories mapped against fund benchmark composition, with manager-level climate metrics validated through quarterly due diligence cycles. This is an illustrative sample document for portfolio template purposes.